

CHAPTER 8

Fixed-Income Investments

KEY CONCEPTS

- There are several fixed-income categories to invest in.
- Different categories exhibit unique risks and returns.
- A diversified fixed-income portfolio enhances return.
- Low-cost bond mutual funds are an ideal way to invest.

There is no lack of diversification potential in the bond market. Fixed-income categories abound with unique investment opportunities. They include government bonds, investment-grade and high-yield corporate bonds, mortgage-backed bonds, asset-backed securities, and foreign debt. Using a broadly diversified fixed-income strategy can increase portfolio return without additional risk.

Fixed-income asset allocation is often overlooked in the investment advice industry. Books and articles on asset allocation tend to devote a significant amount of time to the benefits of equity asset diversification while largely ignoring fixed-income selection.

It is common for investment managers to place their clients' entire fixed-income allocation in government bonds only and ignore all other fixed-income categories. Those advisors tell clients that they "prefer to take their risk on the stock side." I tend to believe that they use only government bonds to make the advisor's job easy rather than to go through the extra work to create a properly diversified fixed-income allocation.

Investors should always use low-cost mutual funds in categories that would otherwise require significant analysis and expertise, such as high-yield corporate bonds and foreign bonds. The simplest way to gain instant fixed-income diversification is through a low-cost bond index fund or ETF. There are several low-cost funds available that follow popular investment-grade indexes, such as the Barclays Capital Aggregate Bond Market Index. A partial list of these funds is provided at the end of this chapter.